

Dear Editor,

We are pleased to resubmit our revised manuscript for your consideration. We thank you and the referees for the careful and constructive feedback on the original submission. We believe the paper has been substantially strengthened as a result of these comments.

In response to the reviewers' core concerns, we made several major revisions. Most notably, we replaced the original 2SLS framework with a stock–flow model that more directly reflects housing market dynamics and avoids the identification issues raised by the referees. We also clarified the definition and interpretation of the Rental Density Index, introducing the formal definition earlier in the paper and strengthening the theoretical connection to the Wheaton–DiPasquale four-quadrant model.

We addressed data concerns by revisiting our World Bank population density series, revising the affected statements, and clarifying data construction throughout the manuscript. We further expanded our treatment of cases with declining rental supply, incorporated these explicitly into our modeling framework, and clarified how vacant and seasonal units are handled in the data. Finally, we carefully considered the feasibility of MSA-level inflation adjustments and clarified our empirical strategy for addressing common inflationary and housing-cycle effects.

A detailed, point-by-point response to all referee comments is provided in the accompanying response document. We are grateful for the opportunity to revise the manuscript and hope that the changes satisfactorily address the concerns raised.

Thank you again for your time and consideration.

Sincerely,

The Authors